INSURANCE AND PENSIONS COMMISSION

THIRD QUARTER REPORT

FOR

LIFE ASSURERS

AS AT 30 SEPTEMBER 2012

List of Acronyms and Abbreviations

GPW	Gross Premium Written
NPI	Net Premium Income
GPI	Gross Premium Income
IPEC/ Commission	Insurance and Pension Commission
Y-Growth	Year on year growth
Q-Growth	Quarterly growth
NOTE:	**ALL MONETARY FIGURES ARE IN USD**

1.0 Table of Contents

2.0Industry Overview

This report is based on 9 Life assurance companies and 2 reassurance companies.

The life assurance industry wrote $145million in gross premiums, reflecting a 171% growth rate from figures reported in the previous quarter. On the other hand, total costs grew by 194% to close the third quarter at $96million buttressing the imminent need to spread risks through reinsurance and effecting cost cutting measures. Nevertheless the industry realized $46million as technical profit .Expense and combined ratios were 23% and 68% respectively (June 2012:36% and 63%).

Total assets grew by 24% to close the quarter at $1billion from $875million reported previously. Compliance with the prescribed asset ratio continued to be a challenge for the industry.The life assurance industry remained largely capitalized statutorily although the capital to liability ratio (solvency) was at 14% against a regional minimum threshold of at least 100% .

For a detailed summary please refer to Table 1, below.

Table 1 : Financial Performance Indicators for Life Companies for the quarter ended 30 September 2012

Item	Life Assurers			Life Reassurers			TOTALS		
	Jun 2012	Sept 2012	Var	Jun 2012	Sept 2012	Var	Jun 2012	Sept 2012	Var
Gross Premiums Written ($000)	50,814	140,363	176%	2,734	4,524	66%	53,548	144,887	171%
Net Premiums Written ($000)	49,376	137,642	179%	2,459	3,823	55%	51,835	141,465	173%
Retention Ratio	97%	98%	1%	90%	84%	-6%	97%	98%	1%
Total Gross Claims ($000)	16,535	60,810	268%	862	1,362	58%	17,397	62,172	257%
Total Net Claims ($000)	13,357	60,378	363	524	1,315	151%	13,881	61,693	344%
Management Expenses ($000)	15,475	26,405	71%	651	996	53%	16,126	27,401	70%
Commissions ($000)	2,071	3,917	89%	471	1,188	152%	2,542	5,105	100%
Total Costs($000)	30,903	92,170	(4%)	1,616	3,499	117%	32,519	95,669	194%
Technical Profit	18,473	45,472	146%	843	324	62%	19,316	45,796	137%
Expense Ratio (%)	36%	22%	(14%)	46%	57%	11%	36%	23%	(13%)
Combined Ratio	63%	67%	4%	66%	92%	26%	63%	68%	5%
Total Assets ($000)	870,801	1,084,636	25%	4,099	4,117	0	874,900	1,088,753	24%
Total Liabilities ($000)	-	955,274	-	4,339	3,462	20%	-	958,736	-
Free Capital($000)	-	129,362	-	(240)	**655**	-73%	-	130,017	-
Capital to liability Ratio	-	14%	-	-6%	**19%**	13%	-	14%	-

Section A

Life Assurance Companies

3.0 Update on Number of Operational Institutions

This report is centered on 9 players.

4.0 Net Premiums Written

Life offices wrote premiums of $137million in net terms for the year to date ended 30 September 2012.This reflected a 179% growth from the prior quarter. This is mainly attributable to a major player who had submitted duly signed but erroneous returns which understated their figures. The error has been rectified. Nevertheless the industry appears to be on a bold recovery path(see Table 2,below).

Table 2: Net Written Premium Distribution by Company as at 30 September 2012

Name of Company	NPW (USD)				Yearly Growth
	June 2012 (000)	Sept 2012 (000)	Quarterly Growth (%)	Sept 2011	
Altfin	2,153	3,197	48	2,855	12%
Cbz	563	2,664	373	468	469%
Evolution	365	491	35	971	(49%)
Fidelity	3,610	5,919	64	5,321	11%
FML	10,143	8,823	13	18,760	(53%)
Heritage	497	746	50	618	21%
Old Mutual	23,658	102,821	335	58,589	75%
Zb Life	3,070	4,715	54	4,526	4%
Zimnat	5,317	8,266	55	5,679	46%
TOTAL	**49,376**	**137,642**	**179**	**97,787**	**41%**

5.0 Business Composition

For the current reporting period, the life industry wrote $140million in gross terms (see Table 3 below).

Table 3: Business Composition by Company as at 30 September 2012

Co. Name	Individual Life (000)						Employee Benefits (000)						Total Gross Premiums (000)		
	New Business			Recurring Premiums			New Business			Recurring Premiums					
	June 2012	Sept 2012	Growth (%)	June 2012	Sept 2012	Growth (%)	June 2012	Sept 2012	Growth (%)	June 2012	Sept 2012	Growth (%)	June 2012	Sept 2012	Growth (%)
Altfin*****	*	-	-	*	-	-	*		-	*	3,612	-	2,357	3,612	53
CBZ Life	*	810	-	*	113	-	*	1,640	-	*	271	-	577	2,834	391
Evolution	*	769	-	*	178	-	*	0	-	*	1,050	-	931	1,229	32
Fidelity	*	452	-	*	904	-	*	41	-	*	4,823	-	3,742	6,220	66
FML	*	1,813	-	*	4,978	-	*	93	-	*	1,939	-	10,188	8,823	(13)
Heritage	*	11	-	*	388	-	*	0,281	-	*	401	-	526	800	52
O. Mutual	*	414	-	*	2,807	-	*	8,349	-	*	91,250	-	23,719	103,137	335
Zb Life	*	-	-	*	-	-	*	-	-	*	5,027	-	3,246	5,027	55
Zimnat	*	610	-	*	238	-	-	366	-	*	7,468	-	5,528	8,681	57
TOTAL		**5,036**	**-**	*	**11,039**	**-**	**-**	**10,500**	**-**	*	**110,814**	**-**	**50,814**	**140,363**	**176**

As shown in the table above, business written was predominantly of a recurrent nature constituting 87% of Gross written premiums.This may be attributable to low business activity fueled by liquidity challenges prevailing in our economy as well as low confidence in the life assurance industry .The resultant low policy values and pension benefits on conversion to the United States dollar could also be a contributory factor. To this extent, the Commission will continue to probe the entire conversion process in an effort to meet fair policyholder expectations.

5.2 Business Composition by Class

Life companies wrote $133million in gross terms as illustrated in table 4 below.

Table 4: Written Business Classes by Company as at 30 September 2012

Co. Name	Annuities (000)	Term Assurance (000)	Endowment (000)	Pure Endowment (000)	Whole Life (000)	Funeral (000)	Fund Business (000)	OTHER/GLA (000)	Total (000)
Altfin	0	0	0	0	3,612	0	*	*	3,612
CBZ Life	2,060	0	0	0	0	774	0	0	2,834
Evolution	0	0	0	0	1,050	179	0	0	1,229
Fidelity	0	0	476	11	167	0	4,864	702	6,220
FML	938	0	25	482	264	5,082	2,032	0	8,823
Heritage	*	*	*	*	800	*	*	*	800
O. Mutual	14,769	0	0	0	1,051	1,346	72,590	13,065	102,821
Zb Life	*	*	*	*	5,027	0	*	*	5,027
Zimnat	*	*	*	0	49	719	7,833	80	8,681
Total	**17,820**	**0**	**501**	**702**	**12,020**	**8,100**	**87,319**	**13,847**	**140,363**

Key:

* - Information not submitted or policy categories not clearly defined

The table shows that the major contributing business streams were fund business (66%), annuities (13%) and group life assurance policies (10%).This scenario suggests a reluctant uptake of traditional life products with business portfolio largely dominated by the "compulsory" duo of fund business and group life assurance with a combined share of 76% of gross written business.

Players should take note that IPEC does not currently regulate medical aid premiums and for that reason has deliberately left that category from our quarterly return template. A major player continued to incorporate this class of business which inflated their top line. Accordingly, we have adjusted their gross written premium figures in terms of the act.

5.2.1 Not-taken Up policies and Lapsed Policies

The industry reported that the total policy count of not taken up policies were 73 polices whilst a single player reported a ratio in excess of 20% .Such high lapse incidences may be a sign of miss-selling or switching which inhibits public confidence in our industry. Such players will be penalized in terms of the law(see Table 5,below).

Table5: Lapses and Not Taken Up Policies by Company as at 30 September 2012

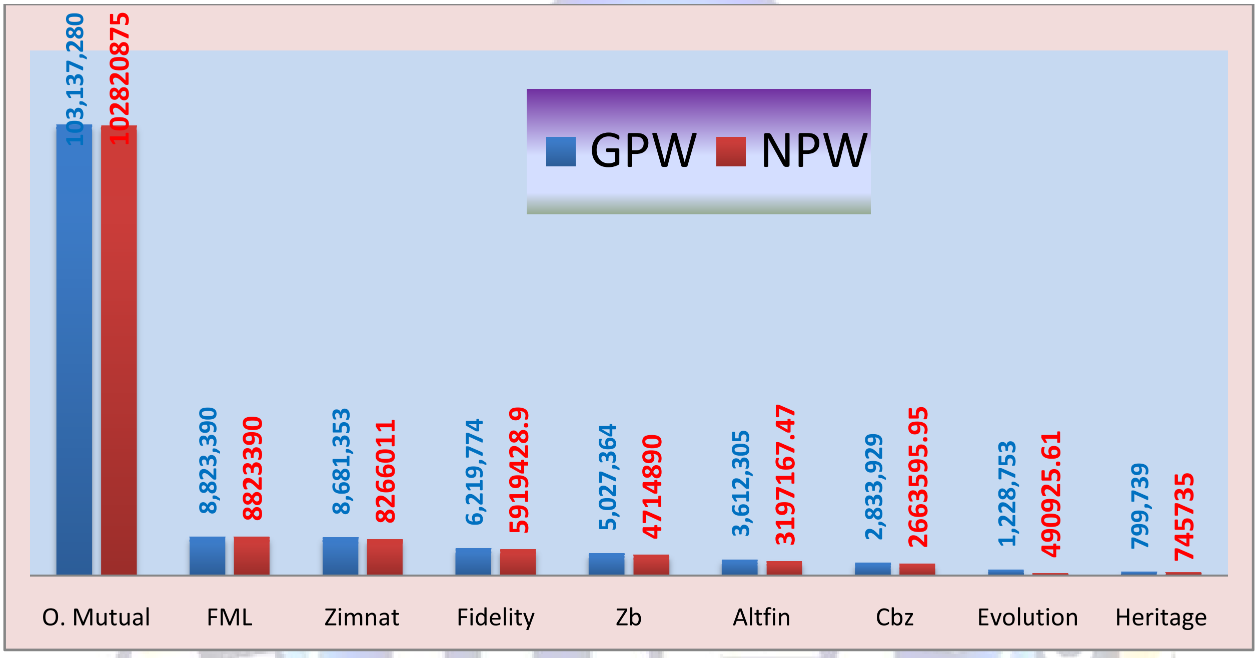
Co. Name	**Not taken up policies (000)**						**Lapse Ratios (%)**					
	Individual			Group Business			Individual			Group Business		
	June 2012	Sept 2012	Growth	June 2012	Sept 2012	Growth	June 2012	Sept 2012	Growth	June 2012	Sept 2012	Growth
Altfin	-	0	-	-	0	0	0	0	-	-	0	-
CBZ Life	-	8	-	-	20	-	16	0	0	-	0	-
Evolution	-	0	0	-	0	-	-	0	-	-	0	-
Fidelity	-	0	-	-	0	-	-	35	-	-	0	-
FML	-	9	-	-	0	-	-	14	-	-	0	-
Heritage	*	*	-	*	*	-	*	*	-	*	*	-
O. Mutual	-	10	-	-	0	-	-	7	-	0	-	0
Zb Life	-	0	-	-	0	-	-	11	-	-	0	-
Zimnat	-	26	-	-	0	-	-	17	-	-	0	-
TOTAL	**-**	**53**	**-**		**20**		**N/A**	**N/A**		**N/A**	**N/A**	

* - Information not submitted

6.0 Market Share for Life Assurers

Market share for the life industry both in gross and net terms was as illustrated in Figure 1,below.

Figure 1: Market share for life companies



The traditional top three players continued to control more than 86% of total business. This calls for innovation both in new product development and service delivery on the part of players especially the remaining six in order to boost competitiveness. The insurance industry needs to adjust to market needs otherwise it will be exposed to product risk because some products are now obsolete hence the need to revamp both their benefit features and delivery channels.

7.0 Claims Analysis

Table 6 below illustrates that the total claims bill was $62million for the year to date ended 30 September 2012.The table shows that 43% or $27million were surrenders which suggest that policyholders may be taking a short term view of life assurance or liquidity constraints. Other major claims were realized in respect of death-in-service benefits and mature policies.

Table 6 : Claims Categories by Company as at 30 September 2012

Co. Name	Death(000)	Maturity(000)	Disability(000)	Surrenders(000)	Cash bonuses(000)	Annuities	Reinsurance	Total Net Claims (000)
Altfin	128	84	0	140	0	0	62	290
CBZ Life	229	0	0	0	0	0	10	219
Evolution	276	0	0	0	0	0	0	276
Fidelity	948	0	0	0	0	0	122	826
FML	2,204	0	0	0	0	0	35	2,169
Heritage	116,	0	0	0	0	0	6	110
O. Mutual	7,404	13,634	0	23,415	0	6,551	144	50,860
Zb Life	983	67	0	1,843	0	0	25	2,868
Zimnat	2,700	87	0	0	0	0	27	2,760
Total	**14,872**	**14,807**	**0**	**26,794**	**352**	**6,551**	**433**	**60,378**

7.0 Claims Aged Analysis

Life assurers reported total outstanding claims bill at $1million with 35% being claims in excess of 31 days. We encourage industry to settle claims timeously, failure of which the Commission will penalize players for failure of practicing sound insurance principles in terms of the Act(See table 7,below).

Table 7 : Claims Aged Analysis by Company for the Quarter ended 30 September 2012

Co. Name	>30days($000)	31-60days($000)	61-90days($000)	91-120days($000)	<121 days($000)	Total($000)
Altfin	0	7	0	0	90	97
CBZ Life	1	0	0	0	0	1
Evolution	0	0	0	0	0	0
Fidelity	524	45	12	1	2	584
FML	0	0	0	0	0	0
Heritage	0	0	0	0	0	0
O. Mutual	241	0	0	0	0	241
Zb Life	13	5	5	15	8	47
Zimnat	0	224	0	0	0	224
Total	779	281	17	16	100	1,193

8.0 Debtors Aged Analysis

Life assurers reported total outstanding premiums for the period under review of $4million or 3% of gross written premiums illustrating some premium collection challenges. Players are encouraged to implement flexible but prudent premium payment terms for their policyholders as well as developing innovative and relevant products given macro-economic changes in recent years resulting in traditional life products becoming outdated.

Low premium collection rates lead to exaggerated financial soundness in the form of technical profits manifested on paper only.

We also note that some major players understated their debtors book when in fact there are known cases of contribution arrears for example.In an effort to reflect reality,we had to adjust the submitted returns in line with the Act. IPEC requires players to submit authentic returns failure of which the law will take its course(see Table 8,below).

Table 8 : Debtors Aged Analysis by Company for the Quarter ended 30 September 2012 ($000)

Co. Name	>30days	31-60days	61-90days	91-120days	<121 days	Total
Altfin	**71**	1	79	0	842	993
CBZ Life	**21**	1	0	0	0	22
Evolution	**30**	0	0	0	0	30
Fidelity	**510**	178	145	1	383	1,157
FML	**0**	416	184	572	0	1,173
Heritage	**129**	48	61	107	0	346
O. Mutual	**0**	0	0	0	5,589	5,589
Zb Life	**13**	5	5	15	8	47
Zimnat	**19**	35	2	104	143	304
Total	**793**	**684**	**476**	**799**	**1,376**	**9,661**

9.0 Earnings

For the period under review, players reported the cost distribution as administration {29%, June 2012:50%}, claims {67%, June 2012:43%} and commission {4%, June 2012:7%}. The figures illustrate sustained industry efforts in cost cutting especially administration (management) costs. This is important since high costs have a potential to negatively affect policyholder benefits (See Table 9, below).

Table 9: Key Financial Performance Indicators By Company for the Quarter ended 30 September 2012

Co. Name	NPW(000)		Claims (000)			Commissions(000)			Management Expenses(000)			Total Costs(000)					Combined Ratio		
	June 2012	Sept 2012	*June 2012*	Sept 2012	*Growth*	June 2012	Sept 2012	Growth	June 2012	Sept 2012	Growth	Sept 2011	June 2012	Sept 2012	Y-Growth	Q Growth	Sept 2011	June 2012	Sept 2012
Altfin	2,153	3,197	225	290	29%	183	569	211%	1,009	1,299	29%	2,218	1,417	2,158	(3%)	52%	78	66%	68%
CBZ Life	563	2,664	77	219	184%	72	307	326%	221	700	217%	339	370	1,226	262%	231%	69	66%	46%
Evolution	365	491	35	276	689%	-	154	-	185	258	39%	1,081	220	688	(36%)	213%	111	60%	140%
Fidelity	3,610	5,919	463	826	78%	115	175	52%	1,728	2,646	53%	2,529	2,306	3,647	30%	42%	48	64%	62%
FML	10,143	8,823	2,408	2,169	-10%	940	1,208	29%	5,494	9,642	76%	18,094	8,842	13,019	(28%)	47%	96	87%	148%
Heritage	497	746	67	110	64%	65	98	51%	365	522	43%	711	497	730	3%	47%	115	100%	98%
O. Mutual	23,658	102,821	6,322	50,860	704%	142	499	251%	3,097	8,178	164%	60,180	9,561	59,537	(1%)	522%	103	40%	58%
Zb Life	3,070	4,715	1,894	2,868	51%	329	484	47%	1,793	1,580	(12%)	6,295	4,016	4,932	(22%)	21%	139	131%	105%
Zimnat	5,317	8,266	1,866	2,760	48%	225	423	88%	1,583	1,580	0	3,909	3,674	4,763	22%	30%	69	69%	58%
Total	**49,376**	**137,642**	**13,357**	**60,378**	363	**2,071**	**3,917**	89%	**15,475**	**26,405**	71%	**95,356**	**30,903**	**90,700**	**(4%)**	**197%**	**97**	**63%**	66%

10.Asset Quality

Asset distribution for the current reporting period was staggered in properties {38% or $418million, June 2012:47%}, equities {41% or$445million , June 2012:37%}, money market {14% or $141million, June 2012:11%}, cash assets (1%) and other assets {6% or $65million, June 2012:6%}.Near cash assets were not clearly distinguished from money market securities in our June 2012 returns, a situation rectified in our new return template which came into effect in the third quarter. *There* is an apparent non-compliance by the Life industry to statutorily invest 7.5% of their total assets in prescribed securities. Appropriate penalties will be levied to ensure compliance.

Table 10: Life industry Asset bases for the Third Quarter ended 30 September 2012

	Fixed Property (000)			Equities (000)			Money Market (000)			Cash (000)			Other Investments (000)			Prescribed Assets Ratio (minimum 7.5%)			Total Assets (000)				
	Jun 12	Sept 12	Var %	Jun 12	Sept 12	Var %	Jun 12	Sept 12	Var %	Jun 12	Sept 12	Var %	Jun 12	Sept 12	Var %	Jun 12	Sept 12	Var %	Sept 11	Jun 12	Sept 12	Q-Var %	Y – Var %
Altfin	673	251	-63	3,932	185	-95	319	0	562	-	208	-	1,169	706	-95	-	-	-	5,677	6,092	1,350	-78	-76
CBZ Life	0	133	-	0	0	-	89	3,763	4128	0	113	-	3,584	104	-97	-	4%		1,621	3,673	4,113	12	165
Evolution	1,579	31	-98	0	0	-	247	137	-45	30	-	-	1,427	2,111	48	-	-	-	3,968	3,253	2,279	-30	-57
Fidelity	18,531	19,499	5	5,065	5,220	3	4,763	4,216	-11	0	465	-	2,447	2,889	18	-	-		19,441	30,805	32,289	5	66
FML	0	0	-	67,516	19,488	-71	1,759	9,824	458	0	757	-	10,763	45,992	327	-	-	-	49,908	80,038	76,061	-5	52
Heritage	512	611	19	33	29	-12	57	57	-	-	1,797	-	1,807	-	-	-	-	-	602	2,410	2,521	5	319
O.Mutual	368,544	378,471	3	217,905	392,021	80	83,338	122,530	47	-	3,440	-	17,292	12,320	29	-	-	-	868,914	687,080	908,782	32	5
Zb Life	3,215	3,940	23	18,842	19,237	2	219	1,568	616	-	250	-	3,671	1,305	-64	-	-	-	25,427	25,947	26,300	1	3
Zimnat	14,628	14,628	-	9,618	9,204	4	661	6,548	891	-	561	-	6,596	-	-	-	-	-	25,694	31,503	30,941	-2	20
Total	**407,682**	**417,564**	**2**	**322,911**	**445,385**	**38**	**91,452**	**150,755**	**65**	**30**	**7,591**		**48,756**	**65,427**	**34**	**-**	**-**	**-**	**1,001,252**	**870,801**	**1,084,636**	**25**	**8**

11. Capitalization and Solvency Indicators

All but one life assurers were adequately capitalized in excess of $500 000 as prescribed by Statutory Instrument 189 of 2009.The non-compliant player has been directed to stop writing new business whilst finalizing on recapitalization in terms of section 22(1) of the Insurance Act

To determine solvency estimates we have computed the ratio of net capital to liability ratio to demonstrate the safety margin per each dollar of liability.It is noteworthy to state that the regional minimums particularly in South Africa is 100% or 1,implying total capital assets which are equivalent to the total liability burden. Table 11 below illustrates one player with a negative position. The Commission is closely working with the player in order to restore normalcy in terms of Section 24(b) of the Insurance Act Chapter 24:07.

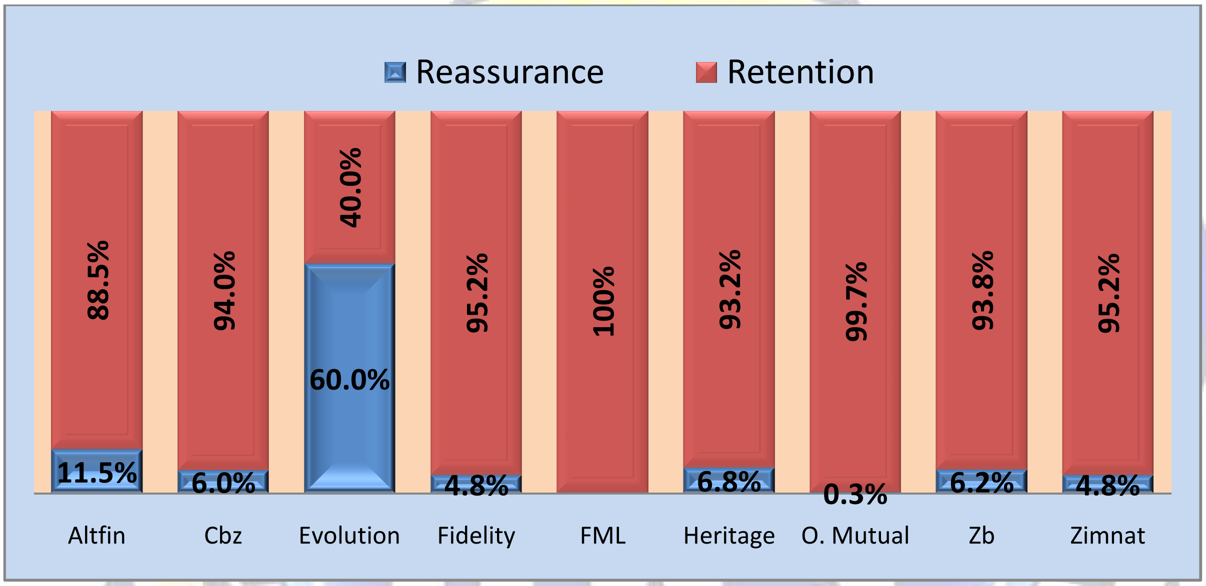
Table 11: Levels of Capitalization

Name of Company	Altfin	CBZ	Evolution	Fidelity	FML	Heritage	O. Mutual	Zb	Zimnat	Total
Total Assets(000)	1,350	4,113	2,279	32,289	76,061	2,521	908,782	26,300	30,941	**1,084,636**
(Total Liabilities)(000)	*1,842*	*2,164*	*356*	*24,697*	*67,384*	*425*	*811,855*	*22,550*	*24,001*	***955,274***
Capital (Net Assets)(000)	-492	1,949	1,923	7,592	8,677	2,096	96,927	3,750	6,940	**129,362**
Net Premium Written	3,197	2,664	491	5,919	8,823	746	102,821	4,715	8,266	**137,642**
Capital to liability Ratio (%)	-73	90	540	31	13	493	12	17	29	**14%**
Capital to NPW Ratio (%)	-85	73	392	128	98	281	94	80	84	**97%**

12. Reinsurance

High retention ratios across the industry is a concern. Industry players are hereby reminded to practice prudent risk spreading via reinsurance as today premium is tomorrow's claim. Reinsurance is very critical as a means to manage cash flows and protecting shareholder values (see Figure 2 below and Table 11 above)

Figure 2: Reinsurance



Section B

Reassurance Companies

1.0 Update on Number of Operational Institutions

This report is based on 2 operational life reassurers.

2.0 Business Written

Reassurers wrote $4,5million in gross premiums which was a 66% growth from $2.7million in the previous quarter. In net terms players wrote $3.8million reflecting a retention ratio of 84% (See Table 1 below).

Table 1: Key Performance Indicators for the quarter ended 30 September 2012

Indicator	June 2012	Sept 12	Growth
Gross Premium Written	2,733,535	4,524,053	66%
Net Premium Written	2,459,129	3,822,601	55%
Net Claims Incurred	(524,490)	(1,315,274)	151%
Net Commission Incurred	(470,502)	(1,188,004)	152%
Management Expenses	(650,804)	(995,568)	53%
Total Operational Costs	(1,645,796)	(3,498,846)	113%
Underwriting Profit	813,333	323,755	(60%)

2.1 Earnings

The industry incurred total operational costs amounting to $3.5million, a 113% rise from the previous reporting period. The combined ratio for the period was 92%.Reassurers realized a technical profit of $0.3million (See Table 1 above)

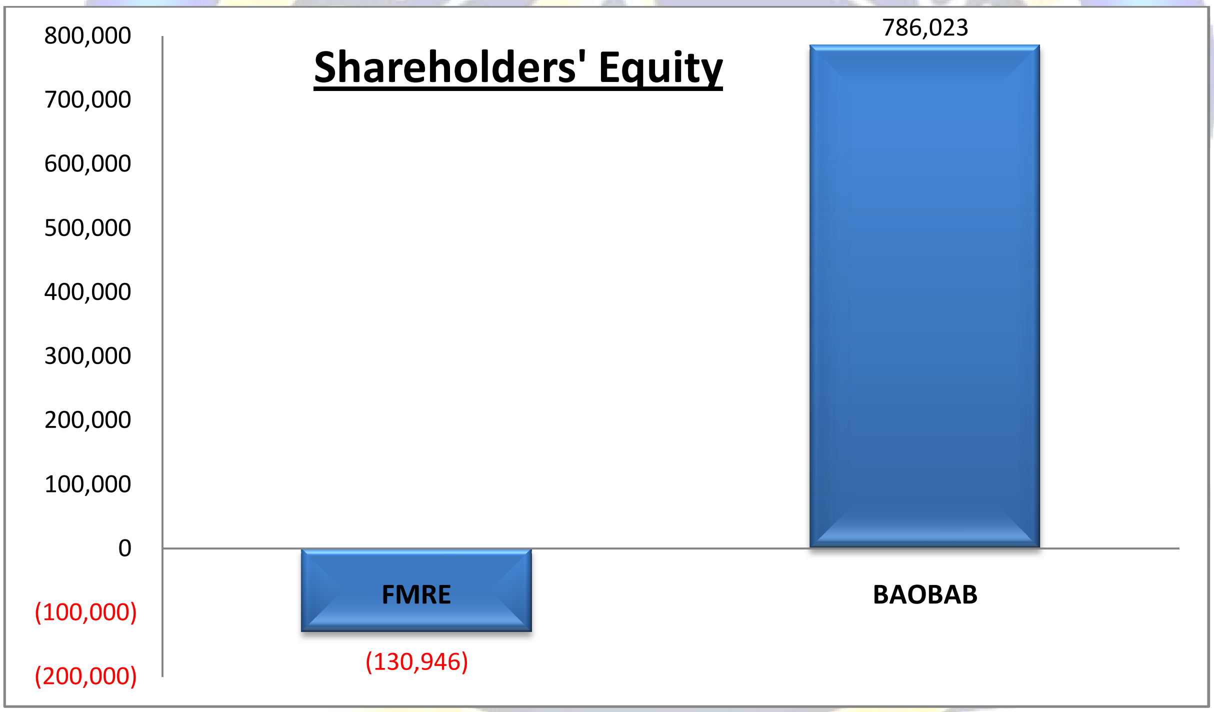
2.2 Capitalization and Solvency

Though submitted figures show FM Re Life as undercapitalized ,IPEC has approved their plan to make the company a department under FM Re Property and Casualty which is adequately capitalized to the tune of $3,9million against the current regulatory minimum of $400 000 for the third quarter ended 30 September 2012 .However efforts to normalize the situation are on course with the institution expected to be adequately capitalized in the next reporting period. Their negative capital position consequently resulted in a negative solvency territory (See Table 2 and Figure 1, below)

Table 2: Capitalization and Solvency Indicators

Item	Baobab	FMRe	Total
Total Assets ($)	3,378,981	738,252	4,117,233
Liabilities ($)	2,592,957	869,198	3,462,155
Capital ($)	**786,023**	**-130,946**	**655,078**
Capital to liability ratio (%)	**30%**	**-15**	**19%**
Net premium written ($)	**2,611,405**	**1,211,195**	**3,822,600**
Capital to Net premium written ratio (%)	**30**	**-15**	**17%**

Figure 1 : Capitalization Levels for the quarter ended 30 September 2012



2.3 Asset Quality

Reassurers held 55% of their assets in current assets for the period under review(June 2012:59%).The balance was held in non-current assets. We continue to encourage players to employ actuarial guidance in order to strike optimum asset-liability matching (See Table 3 below).

Table 3: Total Assets for Reassurers for the quarter ended 30 September 2012

	Baobab	FMRe	Total
Non-Current Assets	1,458,249	396,066	**1,854,315**
Current Assets	1,920,732	342,186	**2,262,918**
TOTAL ASSETS	**3,378,981**	**738,252**	**4,117,233**

2.4 Market Share

Figure 2,below, shows that Baobab Re retained 70% of the market in terms of gross written premium terms. However, in net terms, its market was 68% with FMRe Life and Health claiming the balance.

Figure 2: Market share For Reassurers for the quarter ended 30 September 2012